

Theoretical Foundation - Critical Assessment

✖ MAJOR WEAKNESS: Theoretical Underdevelopment

The Core Problem

Paper's Logic: 1. Apply bankruptcy prediction model (Z-score) 2. To population with ZERO bankruptcies (Greek public hospitals) 3. Find model shows no distress 4. Conclude: Model is wrong, need new theory 5. BUT: No new theory provided! 🚩

What's Missing

Missing Element	Why It Matters	Impact
Formal definition of "financial distress" in public entities	Can't measure what you can't define	Construct invalidity
Alternative theoretical framework beyond critique of Z-scores	Promised but not delivered	No theoretical contribution
Engagement with soft budget constraint theory (Kornai)	Explains why traditional models fail	Missed theoretical foundation
Application of capital structure theory (pecking order, trade-off)	Could explain observed financing patterns	Missed explanatory opportunity

